# Meridian Actuarial Advisors LLC

www.meridianactuarial.com

July 15, 2024

James Garcia
Chief Financial Officer
Gonzalez, Campbell and Kelly

Dear Mr. Garcia:

Thank you for asking us to review what Gonzalez, Campbell and Kelly pays for its reinsurance. The question, as we understand it, is whether the price is reasonable for the risk your company passes to its reinsurers. We would like the answer to rest on your own records, and to be one that anyone who reads our report can follow step by step. This letter sets out the work we will do, the information we will rely on, the people who will do it, and the terms on which we will both proceed. If any part of it differs from what you expect, please tell us before you sign.

## The question we have been asked

A reinsurer prices a treaty on its own view of your business. Our task is to form an independent view of the same business and set the two side by side. For each treaty now in force, we will estimate the claims you would expect to cede, compare that estimate with the premium the treaty charges, and identify the terms that move your net cost. Those are chiefly the retention, any commission or allowance the reinsurer returns to you, and the provisions under which the reinsurer may change its rates.

Some related questions fall outside this letter. We will not negotiate with any reinsurer on your behalf. We will not give an opinion on the accounting treatment of the reinsurance, on the reserve credit taken for it, or on the financial condition of any reinsurer. We will not review the legal wording of the treaties. If you would like help with any of these, we will propose it separately.

## How we will approach it

The work falls into three parts. We will keep them apart throughout, and the report will present them in separate sections.

- 1. The data. We will reconcile the ceded premiums and claim recoveries in your records to the reinsurers' statements, treaty by treaty and year by year, before we rely on either.
- 2. The assumptions. We will study the claims experience of the reinsured business over a recent period. Where a treaty's experience is too thin to stand on its own, we will blend it with published industry experience and state the weight given to each.
- 3. The conclusions. We will compare our estimate of expected claims with the premium charged under each treaty, and state what we conclude and why.

Where a conclusion depends on an assumption, the report will say so in the same place. If another reasonable assumption would change the answer, we will show how much it would change.

## What we will rely on

Our findings can be no better than the records behind them. We will rely on data and documents supplied by your staff. We will review them for consistency and reasonableness, and tell you what we find, but we will not audit them. To begin, we will need:

- 1. Each reinsurance treaty now in force, with every amendment and rate schedule.
- 2. Ceded premium and claim recovery listings by treaty and by year for the experience period, with the reinsurers' statements for the same periods.
- 3. A listing of the reinsured business in force at the most recent quarter end, showing the amount retained and the amount ceded on each policy.
- 4. Claim listings for the reinsured business over the experience period.
- 5. Any rate or pricing correspondence you have received from your reinsurers, including any proposal for renewal.

Files in the form your systems already produce will do. Michelle Banks will agree the experience period and the file layout with your staff when the request goes out.

## Standards

We will perform the work under the Actuarial Standards of Practice. Those that bear most directly on it are No. 23, Data Quality; No. 25, Credibility Procedures, which

governs how we weight your experience against industry experience; and No. 56, Modeling. Our report will meet No. 41, Actuarial Communications.

## The people on the work

I will be responsible for the engagement and will sign the report. Karen Harris, Actuarial Associate, will carry the experience analysis and the assumptions drawn from it, and will coordinate the work from week to week. Michelle Banks, Actuarial Associate, will handle the data, including the reconciliation to the reinsurers' statements and any question about a file.

Day to day, you and your staff will hear most from Karen and Michelle. If anything about the work concerns you at any point, please call me directly.

## Start and fee

We will begin work on July 25, 2024. We expect the review to take about four months. Most of that schedule depends on how quickly the data reach us and how many questions they raise.

Our fee for the work described in this letter is $42,000, and it is fixed. It covers the reconciliation, the analysis, a draft report, one meeting with you to go through the draft, and the final report.

## Invoicing and payment

We will invoice the fee in two parts, the first when work begins and the second when we deliver the final report. Each invoice is payable within thirty days of receipt. We will not undertake work outside this letter without your written agreement, and any such work will be billed at our standard hourly rates.

## Duration and ending the engagement

The engagement runs from the start date above until we deliver the final report and have answered your questions on it. Either of us may end it sooner by written notice to the other. In that case you will pay for the work performed up to the date of the notice, and we will return or destroy your data as you direct.

## Confidential information

Your treaty terms and premium records are commercially sensitive, and the claim listings may contain personal information about policyholders. We will hold all of it in confidence, keep it on secure systems, and use it only for this engagement. We

will not disclose it outside our firm without your written consent, unless the law requires us to.

The report will be prepared for Gonzalez, Campbell and Kelly. You may give it to your auditors and your regulators. You may also give it to a reinsurer, provided the report is given in full. No other party may rely on it without our written consent.

## Limits on our liability

We will perform the work with the care and skill expected of a qualified actuary. We are not responsible for errors that arise from data or information supplied to us. Our total liability for any claim arising from this engagement will not exceed the fees paid to us under this letter.

## Governing law

This letter is governed by the laws of the state in which our principal office is located. If any provision is held unenforceable, the remaining provisions continue to apply.

If this letter matches your understanding, please sign below and return a copy to me. Once we have it, Michelle Banks will send the data request to your office, and we will be ready to begin on the date set out above. We look forward to the work.

Sincerely,

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**Robert Lawrence**
Managing Actuary
Date: July 15, 2024

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**James Garcia**
Chief Financial Officer, Gonzalez, Campbell and Kelly
Date: July 15, 2024